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Safaricom PLC HY'25 Earnings Note

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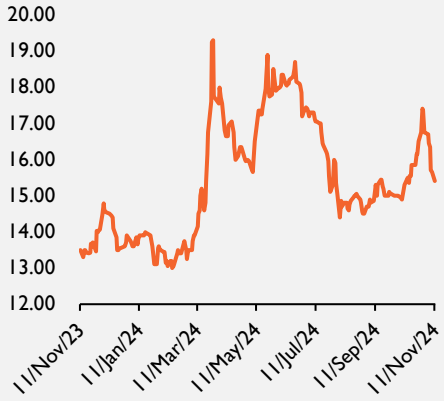


Safaricom Plc HY'25 Earnings Note

November 12th, 2024

Ticker Information	
NSE Code:	SCOM
Issued Shares (Bn):	40.065
52-week high:	KES 24.95
52-week low:	KES 11.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	0.65%	4.05%	-11.24%	14.07%

Source: NSE. AIB-AXYS Research

Analyst

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Recommendation	Current Price	Target Price
HOLD	**KES 15.40**	**KES 16.60**

Summary

- **Safaricom Group posted a 17.7% y/y decline in shareholder net earnings for HY'25 to KES 28.12Bn, primarily prompted by foreign exchange reforms in Ethiopia.** Safaricom's Kenyan operations posted shareholder net earnings of KES 47.50Bn while the telco's Ethiopian business reported a shareholder net loss of KES 19.39Bn. The impact of the Birr's deprecation, excluding minority interest amounted to KES 17.5Bn. Group revenues grew 15.1% y/y to KES 189.42Bn driven largely from value-driven double digit growth in M-Pesa and Mobile Data.

Key Highlights

- **Kenyan Powerhouse Cushions Ethiopian Struggles:** Group earnings before interest and taxes marginally increased by 1.8% y/y to KES 42.20Bn. This growth was constrained by operational losses in Ethiopia which offset the contribution of Safaricom Kenya's robust growth. Cumulative capital expenditure for HY'25 amounted to KES 58.69Bn, marking a 40.1% y/y increase. This rise in capital spending underscores the telco's strategic focus on expanding its network into emerging growth areas.
- **A longer journey ahead in Ethiopia Franchise:** Management revised its expectation for an Ethiopian breakeven scenario, pushing it out by one year to FY'27. This adjustment primarily stems from the significant depreciation of the Ethiopian Birr, which has impacted financial performance metrics. The assumption remains that the customer base will grow to 15-20 million. However, we believe the break-even targets are overly optimistic and foresee longer timelines, especially considering the competitive landscape with the state-backed incumbent, Ethio Telecom.

Service Revenue

Service revenues in the Kenya franchise expanded modestly by 12.9% y/y to KES 177.5Bn primarily driven by robust growth in Mpesa, Mobile Data and Fixed Data revenues. Service revenues in Ethiopia increased to KES 2.62Bn fueled by a steep rise in mobile data revenue.

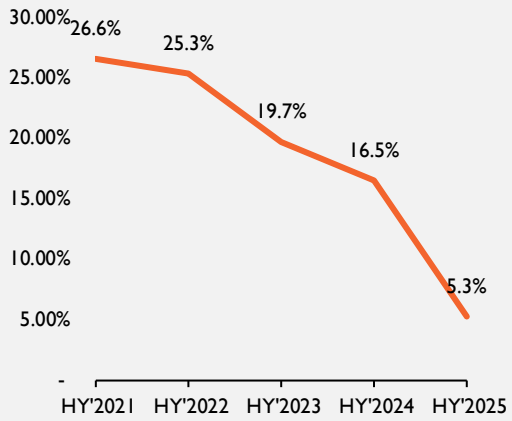
Voice and Messaging Revenue - Voice revenue increased by 4.8% y/y to KES 40.55Bn in the Kenyan business attributed to higher usage, with active customers growing 10.6% y/y to 28.46Mn. However, voice customer average revenue per user (ARPU) decreased 4.1% y/y to KES 240. Voice revenue in the Ethiopian business declined 24.67% y/y to KES 319Mn with the average revenue per user decreasing by 20.6% y/y to KES 30.10.

Messaging revenue increased 8.0% y/y to KES 6.20Bn in the Kenyan franchise fueled by campaigns that boosted usage, lifting ARPU 5.7% y/y to KES 48.46. In the Ethiopian business, messaging revenue increased to KES 23.9Mn with one-month messaging ARPU increasing 55.0% to KES 7.13. Combined, voice and messaging now represent 26.4% of total service revenue. We anticipate that price optimization initiatives will continue to support growth in voice and messaging revenues over the medium term.

Data Revenue - Mobile data revenue ticked up 20.2% y/y to KES 35.55Bn in the Kenyan franchise supported by the 10.5% lift in active customers to 28.83Mn, supported by greater device penetration and personalized offerings. Additionally, the mobile data ARPU increased 13.5% y/y to KES 263.25. Mobile data revenue in Ethiopia ticked up 49.7% y/y to KES 2.04Bn, reflecting growth in customer numbers and increased smartphone adoption, with 90-day active customers increasing by 60.7% y/y to 3.15Mn. Notably, the usage-per subscriber in the Kenyan business rose to 4.12GB – albeit lower than the 6.72GB per subscriber in the Ethiopian business. We expect mobile data revenue to sustain its growth trajectory, driven by pricing optimization to enhance affordability, alongside continued 4G and 5G network expansion.

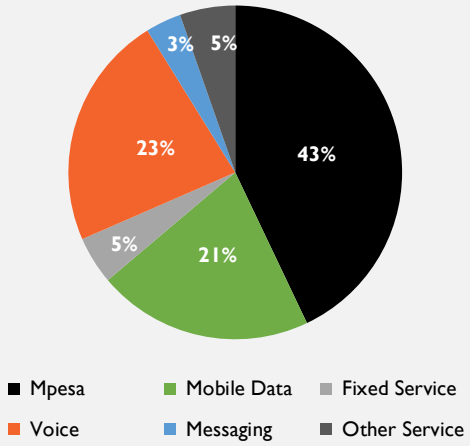
M-Pesa Revenue – M-Pesa revenues increased 16.6% y/y in the Kenyan business to KES 77.22Bn prompted by a 25.6% y/y increase in chargeable transactions per one month active subscriber. Active users increased marginally by 4.1% y/y to 33.46Mn. In Ethiopia, revenue increased 122.2% y/y to KES 16.0Mn. The total value of transactions conducted on M-Pesa increased by 10.7% y/y to KES 20.9Tn while transaction volume surged by 30.6% y/y to KES 17.1Bn.

Chart 2: Net Profit Margin on the Decline



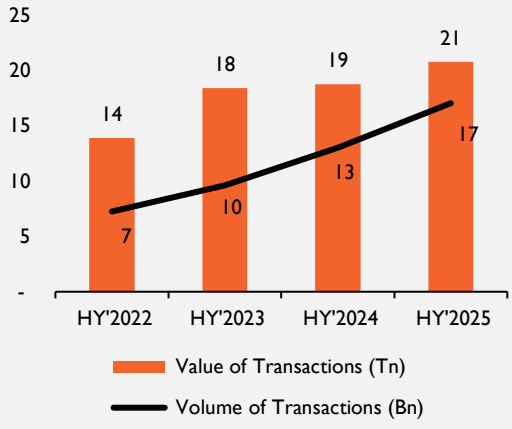
Source: Company filings, AIB-AXYS Research.

Chart 3: Service Revenue Skewed to Mpesa Revenue



Source: Company filings, AIB-AXYS Research.

Chart 4: Mpesa Transactions on a Steady Rise



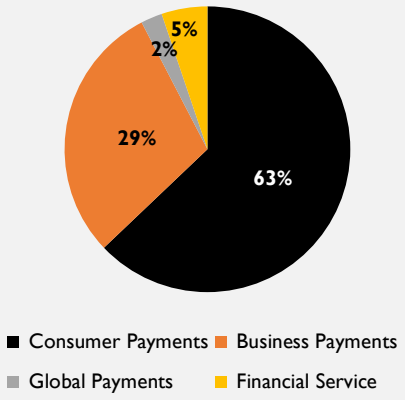
Source: Company filings, AIB-AXYS Research.

Consumer payments continued to drive M-Pesa revenue, contributing 62.9% to the overall M-Pesa revenue stream while the share of business payments accelerated to 29.5%.

M-Pesa Global exhibited commendable growth with revenue increasing 20.3% y/y fueled by increased cross-border money transfer activity. Financial services revenue declined slightly by 0.3% y/y impacted by a 3.9% y/y decline in Fuliza lending revenue and a 7.4% drop in M-Shwari revenue. Conversely, other lending products such as KCB M-Pesa and Timiza showed notable revenue increases of 21.3% and 44.3% y/y, respectively.

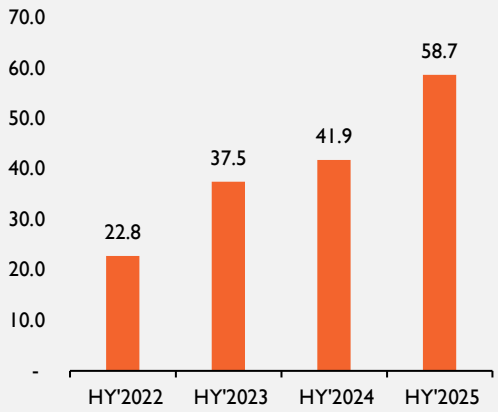
We expect continued M-Pesa expansion across both Kenya and Ethiopia to support overall revenue growth, underpinned by rising business payments, robust global transfer volumes, and adaptable pricing strategies.

Chart 5: Mpesa Revenue Contribution



Source: Company filings, AIB-AXYS Research.

Chart 6: Capital Expenditure Performance



Source: Company filings, AIB-AXYS Research.

Capital Expenditure (CAPEX)

Safaricom Group's capital expenditures increased 40.1% y/y to KES 58.7Bn aimed at driving network expansion in emerging growth areas. Kenya's capex share of KES 30.8Bn reflected a 25.9% y/y increase whereas Ethiopia's capex share of KES 27.9Bn reflected a substantial 59.9% y/y increase. Notably, the FY'25 Capex guidance for Ethiopia was revised upwards to KES 28-31Bn from the initial KES 21-24Bn to accommodate the impact of the Ethiopian Birr's depreciation.

Outlook

We anticipate that Safaricom Group will continue to strengthen its regional commercial position, underpinned by robust double-digit growth in M-Pesa and mobile data services. We expect price optimization strategies including tailored customer pricing to help sustain legacy revenue streams particularly voice and messaging. We opine the telco's recent acquisition of an insurance license presents a strategic opportunity to diversify its revenue streams and deepen customer engagement. We believe the ongoing network expansion in Ethiopia will support long-term revenue growth. Nonetheless, we approach breakeven targets in Ethiopia with cautious optimism; while the market benefits from a young, tech-savvy population, it faces competitive pressures from the state-backed incumbent, Ethio Telecom. Additionally, the depreciation of the Ethiopian Birr is likely to weigh on net earnings in the short- term.

Recommendation

We maintain our HOLD recommendation on Safaricom as earnings remain under pressure. At the current market price, the stock is trading at P/E ratio of 10.8x and a P/B ratio of 4.0x. Our one-year target price for Safaricom currently stands at KES 16.60 - representing a c. 7.8% upside potential from current levels.

Income Statement (KES Mn)	HY'2021	HY'2022	HY'2023	HY'2024	HY'2025	y/y change
Revenue	124,535.2	146,368.4	153,430.3	164,616.8	189,421.9	▲ 15.1%
Direct costs	(37,021.2)	(44,536.6)	(46,812.2)	(44,398.7)	(49,512.6)	▲ 11.5%
Gross Profit	87,514.0	101,831.8	106,618.1	120,218.1	139,909.3	▲ 16.4%
EBITDA	63,380.7	77,404.9	74,042.2	79,672.9	75,070.7	▼ (5.8%)
Earnings Before Interest and Taxes	44,968.0	57,912.1	51,245.9	41,446.8	42,204.5	▲ 1.8%
Profit Before Income Tax	44,747.9	54,684.4	48,251.0	46,940.4	33,859.2	▼ (27.9%)
Profit After Tax to Shareholders	**33,069.8**	**37,172.1**	**33,472.2**	**34,164.6**	**28,117.2**	**▼ (17.7%)**

Balance Sheet (KES Mn)	HY'2021	HY'2022	HY'2023	HY'2024	HY'2025	y/y change
Total Non-current Assets	178,037.3	275,160.8	311,329.8	547,686.7	408,798.3	▼ (25.4%)
Total Current Assets	49,544.3	58,390.0	68,102.3	76,442.2	74,326.1	▼ (2.8%)
Total Assets	**227,581.6**	**333,550.8**	**379,432.1**	**624,128.9**	**483,124.1**	**▼ (22.6%)**
Total Shareholders' Equity	120,058.3	178,796.6	186,786.9	345,550.8	189,672.9	▼ (45.1%)
Total non-current liabilities	14,613.5	17,528.8	80,420.2	130,966.7	135,070.4	▲ 3.1%
Total Current Liabilities	92,909.8	137,225.4	112,225.0	147,611.4	158,381.1	▲ 7.3%
Total Liabilities	**107,523.3**	**154,754.2**	**192,645.2**	**278,578.1**	**293,451.5**	**▲ 5.3%**

Ratio Analysis	HY'2021	HY'2022	HY'2023	HY'2024	HY'2025	y/y change
Profit Ratios						
Net Profit Margin	26.6%	25.3%	19.7%	16.5%	5.3%	▼ (11.2%)
Total Asset Turnover	0.5	0.4	0.4	0.3	0.4	▲ 12.8%
Return on Equity	27.5%	20.7%	16.2%	7.9%	5.3%	▼ (2.6%)
Return on Assets	14.5%	11.1%	8.0%	4.4%	2.1%	▼ (2.3%)
EBITDA Margin	50.9%	52.9%	48.3%	48.4%	39.6%	▼ (8.8%)
Liquidity Ratios						
Current Ratio	0.5	0.4	0.6	0.5	0.5	▼ (4.9%)
Cash Ratio	0.2	0.2	0.1	0.1	0.2	▲ 4.5%
DuPont Identity						
ROE	27.5%	20.7%	16.2%	7.9%	5.3%	▼ (2.6%)
Net Income/Revenue	26.6%	25.3%	19.7%	16.5%	5.3%	▼ (11.2%)
Revenue/Total Assets	54.7%	43.9%	40.4%	26.4%	39.2%	▲ 12.8%
Total Assets/Total Equity	189.6%	186.6%	203.1%	180.6%	254.7%	▲ 74.1%



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